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SURVIVAL OF THE LEAST FIT - CAN EVOLUTION BE FOOLED BY RANDOMNESS?

*A case study on two rare events. On rare events and evolution.
How "Darwinism" and evolution are concepts that are mis-
understood in the non-biological world. Life is not continuous.
How evolution will be fooled by randomness. A preparation to
the problem of induction.*

Carlos the Emerging Markets Wizard

I used to meet Carlos at a variety of New York parties, where he would show up impeccably dressed, though a bit shy with the ladies. I used to regularly pounce on him and try to pick his brains about what he did for a living, namely buying or selling emerging market bonds. A nice gentleman, he complied with my requests, but tensed up; for him speaking English, in spite of his fluency, seemed to require some expenditure of physical effort that made him contract his head and neck muscles (some people are not made to speak foreign languages). What

are emerging market bonds? "Emerging market" is the politically correct euphemism to define a country that is not very developed (as a skeptic, I do not impart to their "emergence" such linguistic certainty). The bonds are financial instruments issued by these foreign governments, mostly Russia, Mexico, Brazil, Argentina, and Turkey. These bonds traded for pennies when these governments were not doing well. Suddenly investors rushed into these markets in the early 1990s and pushed the envelope further and further by acquiring increasingly more exotic securities. All these countries were building hotels where United States cable news channels were available, with health clubs equipped with treadmills and large-screen television sets that made them join the global village. They all had access to the same gurus and financial entertainers. Bankers would come to invest in their bonds and the countries would use the proceeds to build nicer hotels so more investors would visit. At some point these bonds became the vogue and went from pennies to dollars; those who knew the slightest thing about them accumulated vast fortunes.

Carlos supposedly comes from a patrician Latin-American family that was heavily impoverished by the economic troubles of the 1980s, but, again, I have rarely run into anyone from a ravaged country whose family did not at some juncture own an entire province or, say, supply the Russian Czar with sets of dominoes. After brilliant undergraduate studies, he went to Harvard to pursue a Ph.D. in economics, as it was the sort of thing Latin-American patricians had gotten into the habit of doing at the time (with a view to saving their economies from the evils of non-Ph.D. hands). He was a good student but could not find a decent thesis topic for his dissertation. Nor did he gain the respect of his thesis advisor, who found him unimaginative. Carlos settled for a Master's degree and a Wall Street career.

The nascent emerging market desk of a New York bank hired Carlos in 1992. He had the right ingredients for success; he knew where on the map to find the countries that issued "Brady bonds", dollar-denominated debt instruments issued by Less Developed Countries. He knew what Gross Domestic Product meant. He looked serious, brainy and well spoken, in spite of his heavy Spanish accent. He was the kind of person banks felt comfortable putting in front of their customers. What a contrast with the other traders who lacked polish!